

Alpha FMC Group Limited

**Directors' report and financial
statements**

Registered number 08506571

31 March 2014

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Company information

Directors	Mr C Harper Mr N Kent Mr T Trotter Mr N Baker Mr E Fraser
Secretary	Mr N Baker
Company number	08506571
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP St Nicholas House Park Row Nottingham NG1 6FQ
Bankers	HSBC Bank PLC 28 Borough High Street Southwark London SE11YB

Directors' report
for the period ended 31 March 2013

The directors present their report and the audited financial statements for the period from 26 April 2013 (the date of incorporation) to 31 March 2014.

Company incorporation

The company was incorporated on 26 April 2013, as EMS Powerstar Limited, and then changed its name to Alpha FMC Group Limited on 29 August 2013. On 24 October 2013, the company purchased the entire share capital of Alpha Financial Markets Consulting Group Limited.

Principal activities and review of the business

The company is an intermediate holding company and offers management services to its subsidiaries.

Results and dividends

The result for the period is set out in the attached profit and loss account.

The directors do not recommend payment of a dividend.

Directors

The following directors have held office during the period and to the date of this report.

Mr C Harper	(appointed 5 September 2013)
Mr N Kent	(appointed 24 October 2013)
Mr T Trotter	(appointed 24 October 2013)
Mr M Norcliffe	(appointed 1 November 2013, resigned 30 April 2014)
Mr N Baker	(appointed 24 October 2013)
Mr E Fraser	(appointed 24 October 2013)
Mr A Ferguson	(appointed 4 June 2013)

Statement of disclosure to the auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

Auditor

KPMG LLP was appointed as auditor by the directors. Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



Mr N Baker
Director

23 January 2015

Strategic report

Business review

The company achieved a turnover of £378,000 and operating profit of £13,000 in its first period since incorporation. There are no concerns over the recoverability of debtors.

Future developments

The business plan developed by the directors for the Group as a whole shows growth is expected to continue in the forthcoming year. The directors are confident of achieving their plan based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the strong pipeline of future opportunities.

Key performance indicators

The directors monitor performance on both a weekly and a monthly basis in the context of the performance of the whole Group using a range of financial and non-financial indicators. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cash flow, liquidity and the recovery of trade debtors.

Each month the directors review the management accounts for each group undertaking and compare actual performance against budget. Costs are also reviewed to monitor profitability.

Principal risks

The performance of the group is subject to only limited risk in the short and medium term as the future pipeline of work is very strong. The group continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth in the business. Management continue to operate conservative cash management policies.

By order of the board



Mr N Baker
Director

23 January 2015

Statement of directors' responsibilities in respect of the directors' report, the strategic report and the financial statements

The directors are responsible for preparing the Directors' Report, the Strategic Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently,
- make judgements and accounting estimates that are reasonable and prudent,
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.



Independent auditor's report to the members of Alpha FMC Group Limited

We have audited the financial statements of Alpha FMC Group Limited for the period from 26 April 2013 (the date of incorporation) to 31 March 2014 set out on pages 6 to 15. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

As explained more fully in the Directors' Responsibilities Statement set out on page 4, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2014 and of its loss for the period then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' and Strategic Reports for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Wayne Cox *Senior Statutory Auditor*

for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
Park Row
Nottingham NG1 6FQ

Dated: 23 January 2015

Profit and loss account
for the 11 month period ended 31 March 2014

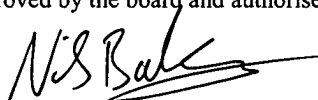
	<i>Note</i>	2014 £000
Turnover		378
Administrative expenses		(365)
Operating profit	2	13
Interest payable and similar charges	3	(1,497)
Loss on ordinary activities before taxation		(1,484)
Tax on loss on ordinary activities	4	113
Loss for the period	14	(1,371)

There are no recognised gains or losses in the current period other than those disclosed in the above profit and loss account.

Balance sheet
as at 31 March 2014

	<i>Note</i>	2014	
		£000	£000
Fixed assets			
Investment	7		33,610
Current assets			
Debtors	8	1,583	
 Creditors: amounts falling due within one year	 9	 (6,412)	
 Net current liabilities			 (4,829)
 Total assets less current liabilities			 28,781
 Creditors: amounts falling due after more than one year	 10		 (30,152)
 Net liabilities			 (1,371)
 Capital and reserves			
Called up share capital	12		-
Profit and loss account	13		(1,371)
 Shareholders' deficit	 14		 (1,371)

Approved by the board and authorised for issue on 23 January 2015



Mr N Baker
Director

Company registered number : 08506571

Notes

(forming part of the financial statements)

1 Accounting policies

The following accounting policies have been applied consistently in dealing with items which are considered material in relation to the Company's financial statements.

Basis of preparation

The financial statements are prepared in accordance with applicable United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), which have been applied consistently (except as otherwise stated) and under historical cost accounting rules.

The Company is exempt by virtue of s400 of the Companies Act 2006 from the requirement to prepare group financial statements as it is included in the consolidated financial statements of Alpha FMC Group Holdings Limited. These financial statements present information about the Company as an individual undertaking and not about its group.

Under FRS 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that a parent undertaking includes the company in its own published consolidated financial statements.

As the Company is a wholly owned subsidiary of Alpha FMC Group Holdings Limited, the Company has taken advantage of the exemption contained in FRS 8 and has therefore not disclosed transactions or balances with entities which form part of the group. The consolidated financial statements of Alpha FMC Group Holdings Limited, within which this company is included, can be obtained from the address given in note 15.

Going concern

The financial statements have been prepared on a going concern basis. The Company is a member of the Alpha FMC Group Holdings Limited group and is supported by the trading subsidiaries. The Group's forecasts and projections, taking into account reasonably possible changes in trading performance, show that the Group should be able to operate with its currently available facilities. As a consequence the Directors have a reasonable expectation that the Company is well placed to manage their business risks and to continue in operational existence for the foreseeable future. Accordingly, the Directors continue to adopt the going concern basis in preparing these financial statements.

Investments

Fixed asset investments are stated at cost less provision for diminution in value.

Pensions

The company operates a defined contribution scheme for the benefit of its employees. Contributions payable are charged to the profit and loss account in the year they are payable.

Taxation

The charge for taxation is based on the loss for the period and takes into account taxation deferred because of timing differences between the treatment of certain items for taxation and accounting purposes.

Deferred taxation is provided in respect of material taxation deferred by timing differences between the treatment of certain items for taxation and accounting purposes. The deferred tax balance has not been discounted.

Foreign currency translation

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are recorded at the rate ruling at the date of the transaction. All differences are taken to profit and loss account.

Interest bearing borrowings

Immediately after issue debt is stated at the fair value of the consideration received on the issue of the capital instrument after deduction of issue costs. The finance cost of the debt is allocated to periods over the term of the debt at a constant rate on the carrying amount.

Notes (continued)

1 Accounting policies (continued)

Classification of financial instruments issued by the Company

Following the adoption of FRS 25, financial instruments issued by the Company are treated as equity (i.e. forming part of shareholders' funds) only to the extent that they meet the following two conditions:

- a) they include no contractual obligations upon the Company to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the Company; and
- b) where the instrument will or may be settled in the Company's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the Company's own equity instruments or is a derivative that will be settled by the Company's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the Company's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

Finance payments associated with financial liabilities are dealt with as part of interest payable and similar charges. Finance payments associated with financial instruments that are classified as part of shareholders' funds (see dividends policy), are dealt with as appropriations in the reconciliation of movements in shareholders' funds.

2 Operating profit

	11 months to 31 Mar 14 £000
<i>Auditor's remuneration</i>	
- audit of these financial statements	2
- tax compliance services	-

3 Interest payable

	11 months to 31 Mar 14 £000
On bank loans and overdrafts	322
Loan note interest	1,073
Amortisation of issue costs of loan notes	18
Monitoring fees	84
	1,497

Notes (continued)

4 Taxation

	11 months to 31 Mar 14 £000
UK corporation tax	-
Total current tax	-
<i>Deferred tax</i>	
Credit for the period	113
	<u>113</u>

Factors affecting the tax charge for the period

	11 months to 31 Mar 14 £000
Loss on ordinary activities before taxation	1,493
Loss on ordinary activities before taxation multiplied by the standard rate of UK corporation tax of 23%	343
<i>Effects of:</i>	
Non deductible expenses	(144)
Group relief surrendered	(68)
Other short term timing differences	(109)
Unrelieved tax losses and other deductions arising in the period	(22)
	<u>(343)</u>
Current tax charge for the period	<u>-</u>

Reductions in the UK corporation tax rate from 23% to 21 % effective from 1 April 2014) and 20% (effective from 1 April 2015) were substantively enacted on 2 July 2013. This will reduce the company's future current tax charge accordingly.

The deferred tax asset has been calculated based on the rate of 23% substantively enacted at the balance sheet date.

Notes (continued)

5 Directors' remuneration

	11 months to 31 Mar 14 £000
Remuneration for qualifying services	238
Company pension contribution to defined contribution schemes	2
	240

Remuneration disclosed above included the following amounts paid to the highest paid director:

	11 months to 31 Mar 14 £000
Remuneration for qualifying services	135
Company pension contribution to defined contribution schemes	2
	137

6 Employees

Number of employees

The average monthly number of employees (including directors) during the period was:

	11 months to 31 Mar 14 Number
Administrative	1
Other	1
	2

Employment costs

	11 months to 31 Mar 14 £000
Wages and salaries	266
Social security costs	40
Other pension costs	2
	308

Notes (continued)

7 Fixed asset investments

	Shares in Subsidiary Undertakings £
<i>Cost:</i>	
On incorporation	-
Additions	33,610
At 31 March 2014	33,610
<i>Net book value:</i>	
At 31 March 2014	33,610
On incorporation	-

On 24 October 2013, the company purchased the entire share capital of Alpha Financial Markets Consulting Group Limited.

Holdings of more than 20%

The company holds more than 20% of the share capital of the following companies

Subsidiary undertakings	Country of incorporation	Principal activity	Class and percentage of shares held
Alpha Financial Markets Consulting Group Limited	UK	Intermediate holding company	100% ordinary

8 Debtors

	2014 £000
Other debtors	427
Prepayments and accrued income	1,043
Deferred tax asset (note 1.1)	113
	1,583

9 Creditors: amounts falling due within one year

	2014 £000
Amounts owed to fellow subsidiary undertakings	910
Other creditors	161
Accruals and deferred income	5,341
	6,412

Notes (continued)

10 Creditors: amounts falling due after more than one year

	2014 £000
Bank loans and overdrafts	6,808
Shareholder loan notes	23,344
	30,152

The maturity of bank loans and overdrafts is as follows:

	2014 £000
In the second to fifth years	7,000
	7,000
Less: unamortised issue costs	(192)
	6,808

Alpha FMC Group Limited has a Mezzanine Facility of £7,000,000 with Beechbrook Capital LLP. The loan is repayable in full on 24 October 2018 or earlier upon the sale or listing of the Group. Interest is accrued at a rate of either LIBOR plus 10% per annum if the group choose to pay the interest on the interest repayment date, or at 8% per annum plus the PIK rate of 4.5% if they choose to capitalise the PIK element of the rate. Interest repayment dates are 31 March 2014 and every quarter thereafter.

The maturity of loan notes is as follows:

	2014 £000
In second to fifth years	281
Over five years	23,063
	23,344

Shareholder loan notes

The shareholders invested £280,534 of loan notes in Alpha FMC Group Limited on 24 October 2013. As part of the agreement Alpha FMC Group Limited had to transfer an amount of £280,534 into an Escrow account, and therefore interest is accrued per the interest actually received in the Escrow account. The loan note is repayable in full with any interest accrued between 6 and 18 months from 24 October 2013.

The shareholders invested £21,988,914 of loan notes in Alpha FMC Group Limited on 24 October 2013. The loan is repayable on 31 March 2020 or earlier upon the sale or listing of the company. Interest is accruing at a rate of 11% per annum and is rolled up by the issue of additional loan notes.

Notes (continued)

11 Deferred tax asset

The deferred tax asset, included in debtors (note 8) is made up as follows:

	2014 £000
Balance on incorporation	-
Profit and loss account	113
Balance at 31 March 2014	113

	2014 £000
Losses and other deductions	18
Short term timing differences	95
	113

12 Called up share capital

	2014 £000
<i>Allotted, called up and fully paid:</i>	
1 ordinary share of £1 each	-

On incorporation, 1 £1 ordinary share was allotted, called up and fully paid

13 Statement of movement on reserves

	Profit and loss account £000
Balance on incorporation	-
Loss for the period	(1,371)
Balance at 31 March 2014	(1,371)

14 Reconciliation of movement in shareholders' deficit

	2014 £
Loss for the financial period	(1,371)
Net movement in shareholders' deficit	(1,371)
Opening shareholders' funds	-
Closing shareholders' deficit	(1,371)

Notes *(continued)*

15 Control

The Company is a subsidiary undertaking of Alpha FMC Group Holdings Limited which is the ultimate parent company incorporated in England and Wales.

The largest group in which the results of the Company are consolidated is that headed by Alpha FMC Group Holdings Limited, incorporated in England and Wales. The consolidated financial statements of this group are available to the public and may be obtained from the registered office at 60 Gresham Street, London, EC2V 7BB.

16 Related party relationships and transactions

The company has taken advantage of the exemption in Financial Reporting Standard Number 8 from the requirement to disclose transactions with group companies on the grounds that consolidated financial statements are prepared by the ultimate parent company.